

## **ABSTRACT**

Canada's Charitable Donations Tax Credit (CDTC), a \$2+ billion annual tax expenditure, conditions access on CRA registration via common law public benefit tests administered through CG-011. This paper argues the CDTC is structurally biased against farmed animal welfare organizations, as eligibility relies on NFACC Codes of Practice (drafted by a board where animal agriculture holds 20/27 voting seats) and human-centered public benefit readings. Evaluating against Neil Brooks' four criteria (equity, neutrality, simplicity, accountability), informed by *Pemsel* fourth-head jurisprudence and the Senate's Catalyst for Change (2019), the CDTC fails each. It subsidizes status-quo charities while excluding challengers informed by public sentiment. Proposed reforms: revise CG-011, adopt refundable credits with modernized charity definitions, or establish direct grants for subsidies paid directly to organizations.

**Keywords:** Charitable Donations Tax Credit; tax expenditure analysis; charity law; non-profit; public benefit test; *Pemsel*; CG-011; farmed animal welfare; NFACC; Canada Revenue Agency

## **Funding Compassion: The Hidden Tax Bias Against Farmed Animal Welfare**

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# **Funding Compassion: The Hidden Tax Bias Against Farmed Animal Welfare<sup>1</sup>**

## **I. Introduction**

### **A. *The CDTC and CG-011***

This paper examines the Charitable Donations Tax Credit (CDTC) as a federal tax expenditure, using the treatment of farmed animal welfare organizations as an illustrative case of how administrative guidance and delegated industry standard-setting can filter access to a multi-billion-dollar subsidy. The CDTC is part of the federal government's tax expenditure scheme, costing over \$2 billion in lost tax revenue, annually.<sup>2</sup> This expenditure often becomes a vehicle for increasing public support for organizations that receive charitable status, while others are denied this revenue boost and the added credibility that comes from the stamp of approval from the Canadian Revenue Agency (CRA).<sup>3</sup> The analysis reviews Canada's charitable registration policies and the restrictions most often affecting farmed animal welfare organizations seeking the ability to issue tax receipts.<sup>4</sup> CRA's guidance document, "Promotion of Animal Welfare and Charitable Registration" (CG-011) discusses how the CRA applies charitable status rules to animal welfare organizations in order to offer donation receipts for the CDTC.<sup>5</sup> This CRA administrative guidance does more than provide process information on applying for charitable status in Canada. It also defines the allowed practices of animal welfare organization applicants.<sup>6</sup>

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<sup>1</sup> A Tax Expenditure Analysis of Canada's Charitable Donation Tax Credit.

<sup>2</sup> Department of Finance, *Report on Federal Tax Expenditures: Concepts, Estimates and Evaluations 2026* (Ottawa: Department of Finance, 2026) [Finance, *Tax Expenditures 2026*].

<sup>3</sup> *Income Tax Act*, RSC 1985, c 1 (5th Supp), s 118.1 [ITA].

<sup>4</sup> Canada Revenue Agency, *Promotion of Animal Welfare and Charitable Registration*, Guidance CG-011 (19 August 2011), s 7 [CG-011].

<sup>5</sup> CG-011, *supra* note 4 at s 8.

<sup>6</sup> CG-011, *supra* note 4 at s 8.2.4.

## **B. *Industry capture through NFACC***

The CRA relies heavily on standards provided by the National Farm Animal Care Council (NFACC), a multi-stakeholder quasi-administrative body predominately made up of those who profit from the commodification of animals.<sup>7</sup> The NFACC leads the development of Canada's Codes of Practice for the care and handling of farmed animals, but at least 20 of the 27 voting board members are directly profiting from the animal agriculture industry, creating the environment for bias within the guidance used to create laws and regulations that work against the progression of stronger farmed animal welfare laws.<sup>8</sup>

This paper contributes to the literature by evaluating the CDTC tax expenditure, s. 118.1 of the *ITA*, as well as ss. 248(30) and (41), with the objective of supporting “[...] the important work of the charitable sector in meeting the needs of Canadians.”<sup>9</sup> The exclusion from charitable registration does more than deny “symbolic” recognition, it affects fundraising capacity, incentives for donors, and the ability for farmed animal welfare organizations to compete with established charitable sectors for public support.<sup>10</sup> The claim of the paper integrates the CRA's animal welfare guidance, the structure of NFACC governance over the industry many of its member profit from, as well as Brook's four-part evaluative framework. The paper brings these ideas together for a comprehensive picture of how the tax administration makes substantive value judgments about which forms of advocacy *deserve* this important charitable status; turning the process away from a neutral administrative task.<sup>11</sup> If the CDTC application process is filtered

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<sup>7</sup> National Farm Animal Care Council, “Members and Partners” (2024), NFACC online: <nfacc.ca/partners> [NFACC, “Members and Partners”].

<sup>8</sup> Animal Health Canada, “NFACC Celebrates 20 Years of Leadership in Farm Animal Welfare” (August 2025), online: <animalhealthcanada.ca/news/2025/08/news-release-nfacc-celebrates-20-years-of-leadership-in-farm-animal-welfare> [AHC, 20 Years].

<sup>9</sup> Finance, *Tax Expenditures 2026*, *supra* note 2.

<sup>10</sup> *ITA*, *supra* note 3 at s 118.1; CG-011, *supra* note 4.

<sup>11</sup> National Farm Animal Care Council, *Codes of Practice for the Care and Handling of Farm Animals*, NFACC online: <nfacc.ca/codes-of-practice> [NFACC, *Codes of Practice*].

through industry-defined conceptions of public benefit, it could also affect existing power structures rather than serving public objectives of those concerned for farmed animals.<sup>12</sup>

### **C.      *Thesis and roadmap***

This paper argues that the CDTC is structurally biased against farmed animal welfare organizations because its eligibility criteria rely on industry-influenced standards and on a restrictive, human-benefit-oriented interpretation of public benefit, and that this bias cannot be justified on the tax policy criteria of equity, neutrality, simplicity, or accountability. Using a tax expenditure framework defined by legal doctrine and institutional critique, this paper evaluates the CDTC against the criteria of equity, neutrality, simplicity, and accountability. Parts II through VI develop the analysis in sequence, covering legal background, objectives, budgetary criteria, alternative vehicles, and broader policy implications, before Part VII concludes and identifies the limits of the argument.<sup>13</sup>

## **II.      Background Facts and Legal Doctrine**

### **A.      *Background and historical development of the research problem***

Canadian charity law derives from the common law *Statute of Charitable Uses* and the four heads of charity articulated in *Pemsel*.<sup>14</sup> Over time, the public benefit test became the gatekeeper through which organizations must pass, and the fourth *Pemsel* head becomes an obstacle for groups seeking charitable status if they are concerned with the welfare of animals involved in any system of Canadian agriculture or other commodification of animals or animal products and services.<sup>15</sup>

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<sup>12</sup> Allison Christians & Samuel Singer, “Policy Forum: The Role of Critical Questions in Tax Policy Analysis” (2024) 73:4 *Can Tax J* 825 at 829–831; Finance, *Tax Expenditures 2026*, *supra* note 2.

<sup>13</sup> Neil Brooks, “The Tax Credit for Charitable Contributions: Giving Credit Where None Is Due” in Lisa Philipps, Neil Brooks & Jinyan Li, eds, *Tax Expenditures: State of the Art* (Toronto: Canadian Tax Foundation, 2011) [Brooks, “Tax Credit”].

<sup>14</sup> *Income Tax Special Purposes Commrs v Pemsel*, [1891] AC 531 (HL) [*Pemsel*].

<sup>15</sup> Alexander Barnes, “Modernizing the Definition of Charity in Canada” (2022), Canadian Bar Association online: <[cba.org/fr-ca/sections/charities-and-not-for-profit-law/resources/modernizing-the-definition-of-charity-in-canada](http://cba.org/fr-ca/sections/charities-and-not-for-profit-law/resources/modernizing-the-definition-of-charity-in-canada)>

Canadian courts have repeatedly confirmed that animal welfare purposes fall under the fourth *Pemsel* head and must therefore satisfy the public benefit test on a case-by-case basis. In *Native Communications Society of BC v MNR*<sup>16</sup>, the Federal Court confirmed that purposes falling outside the first three heads must independently establish benefit to the community, an approach that has made fourth-head applicants, including animal welfare organizations, especially vulnerable to the CRA's administrative confines of the *benefit* definition they created.<sup>17</sup> Recent scholarly commentary has argued that this case-by-case test, when combined with administrative guidance such as CG-011, operates less as a neutral legal standard and more as a filter that privileges established conceptions of public benefit over emerging ones.<sup>18</sup>

The CDTC operates through the federal income tax system as an incentive for donations to registered charities and other qualified donees.<sup>19</sup> For farmed animal welfare organizations, the challenge of accessing the subsidy depends on obtaining charitable registration, which is governed by common law concepts of charity and public benefit, administered by the CRA.<sup>20</sup> For individuals, the CDTC is a *non-refundable* credit, meaning the individual must file a tax return to receive the credit, under section 118.1 of the *ITA*.<sup>21</sup>

## **B. Policy environment and other context**

The distinction between CRA registered charities and organizations that pursue similar *public-facing* goals without registration, is especially important for farmed animal welfare

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<sup>16</sup> *Native Communications Society of BC v Canada (MNR)*, 1986 CanLII 6817 (FCA), [1986] 3 FC 471 [*Native Communications*]; see also *Pemsel*, supra note 14.

<sup>17</sup> *Native Communications Society of BC v Canada (MNR)* (FCA), 1986 CanLII 6817 (FCA), [1986] 3 FC 471, <canlii.ca/t/jqt0t>.

<sup>18</sup> Kathryn Chan, *The Public-Private Nature of Charity Law* (Oxford: Hart, 2016) at 88–94 [Chan, *Public-Private Nature*]; Adam Parachin, “Distinguishing Charity and Politics: The Judicial Thinking Behind the Doctrine of Political Purposes” (2008) 45:4 *Alta L Rev* 871 [Parachin, “Charity and Politics”].

<sup>19</sup> *ITA*, supra note 3 at s 118.1.

<sup>20</sup> *Ibid*; Canada Revenue Agency, *Guidelines for Registering a Charity: Meeting the Public Benefit Test*, Policy Statement CPS-024 (9 March 2011) [CPS-024].

<sup>21</sup> *ITA*, supra note 3 at s 118.1.

groups as they are more frequently denied charitable status. Only registered entities and other qualified donees can issue official donation receipts that unlock the subsidy, creating a level of CRA scrutiny not found within the review of groups not related to farmed animal welfare.<sup>22</sup>

In addition to farmed animal welfare organizations' subrogation to the pro-animal agriculture industry by the CRA, these same groups are further dissociated from charitable status by separating them from companion animal groups.<sup>23</sup> Companion animal charities' work often challenges accepted agricultural uses of animals, and this distinction matters a great deal under CG-011, which recognizes some animal welfare purposes as charitable but places special emphasis on whether the purpose aligns with *generally accepted agricultural practices* and produces a recognized benefit to humanity.<sup>24</sup>

CG-011 is a Canada Revenue Agency (CRA) guidance document titled, "Promotion of animal welfare and charitable registration" that sets out how the CRA applies charity law to animal welfare organizations when deciding whether they can be officially registered as charities and issue donation receipts for the CDTC, a major incentive for donors looking to support their chosen public interest groups:

8. Is it charitable to promote the welfare of animals by preventing farm animals such as cows or pigs from being slaughtered and marketed for human consumption?

No. Canada's animal welfare laws allow for animals to be used for generally accepted agricultural practices, which includes processing them as food. Preventing farm animals from being processed for food is therefore not, as a rule, charitable.<sup>25</sup>

The CRA asserts that farmed animal welfare organizations are distinct from companion animal charities because their work often challenges accepted agricultural practices of animals involved

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<sup>22</sup> *ITA*, supra note 3 at s 149.1; CPS-024, supra note 20.

<sup>23</sup> CG-011, supra note 4, at s 6.

<sup>24</sup> *Ibid*, at s 7.

<sup>25</sup> *Ibid* at s 10, Q 8.

within agriculture.<sup>26</sup> As described in the introduction of this paper, the NFACC lists and defines these generally accepted practices through an exceptionally imbalanced lens that insulates the industry from scrutiny because these practices are drafted, mostly, by those who profit more when animals are treated poorly during the food production process.<sup>27</sup>

Table 1: Composition of NFACC Board Members<sup>28</sup>

| Member Category                    | Members | Primary Interest            | Voting? |
|------------------------------------|---------|-----------------------------|---------|
| Animal Agriculture & Food Industry | 17      | Profit from animal use      | ✓ Yes   |
| Food Service & Retail              | 2       | Profit from animal products | ✓ Yes   |
| Equestrian / Entertainment         | 1       | Commercial animal use       | ✓ Yes   |
| Veterinary Association             | 1       | Professional / mixed        | ✓ Yes   |
| Government (Federal & Provincial)  | 3       | Public regulatory           | X No    |
| Academic / Research                | 1       | Scientific research         | X No    |
| Animal Welfare NGOs                | 2       | Animal protection           | ✓ Yes   |
| Total                              | 27      |                             |         |

Of NFACC's 27 primary members and partners, 20 members represent animal agriculture producers, food processors, food service, or retail interests, while only 2, Humane Canada and World Animal Protection Canada, are animal welfare non-governmental organizations; federal

<sup>26</sup> *Ibid* at ss. 6-7.

<sup>27</sup> NFACC, "Members and Partners", *supra* note 7; *Animal Protection Standards Regulations*, NLR 141/09, s 4; *Animal Welfare Act*, SPEI 2013, c 8; Animal Justice, "Strengthening Farmed Animal Welfare Laws" (16 October 2014), Animal Justice online: <animaljustice.ca>; Cynthia Schuck-Paim & Fabio Alves Alves, "Toward a harmonized approach to animal welfare law in Canada" (2018) 59:2 *Can Vet J* 136; *Animal Protection Regulations*, Sask Reg 1994-30, Part II; *Animal Care Regulation*, Man Reg 126/98, s 2; *Society for the Prevention of Cruelty to Animals Act*, SNB 1996, c S-9.2, s 32; Regulation 2000-4 (NB), s 4 and Schedule A.

<sup>28</sup> NFACC, "Members and Partners", *supra* note 7.

and provincial government representatives and academic representatives attend in an ex officio, or a non-voting, capacity.<sup>29</sup>

### **C. *Current state of the problem and relevance***

The issue remains current because CG-011 continues to structure the registration environment for animal welfare organizations, and charitable status continues to determine access to a tax expenditure worth billions of dollars.<sup>30</sup> Interest is further piqued by the growth of farmed animal advocacy and the mismatch between that growth and the sector's uneven access to charitable registration. In essence, the growing interest in farmed animal welfare should be accompanied by a growth in charitable status approvals for these groups, if the tax expenditure is to succeed in its mandate to Canadian taxpayers.<sup>31</sup> The broader policy environment includes the CRA's reliance on NFACC materials when assessing whether certain activities relieve suffering in a manner consistent with accepted standards.<sup>32</sup> Because NFACC standards are shaped substantially by industry participants and have been incorporated into provincial legal frameworks in several provinces, the policy environment surrounding charitable registration is not institutionally neutral, and therefore, inequitable.<sup>33</sup>

## **III. The CRA Objectives of the CDTC**

### **A. *Objective identification***

The stated objective of the CDTC is to support socially beneficial activity by encouraging donations to organizations that advance *recognized public purposes*, and it reflects an underlying policy choice to share the cost of socially valued giving between individuals and the federal

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<sup>29</sup>*Ibid.*

<sup>30</sup> Finance, *Tax Expenditures 2026*, *supra* note 2; CG-011, *supra* note 4; CG-011, *supra* note 4 at s 10, Q 1.

<sup>31</sup> Information regarding AEL Advocacy's registration and Liz Wheeler's statements drawn from publicly available accounts of the Canadian farmed animal sanctuary sector's engagement with CRA registration requirements.

<sup>32</sup> CG-011, *supra* note 4 at s 9; NFACC, *Codes of Practice*, *supra* note 11; AHC, 20 Years, *supra* note 8.

<sup>33</sup> NFACC, "Members and Partners", *supra* note 7.

government.<sup>34</sup> The objective is legitimate and important at a general level. Supporting the charitable sector and encouraging donations to organizations that provide public benefit are clearly valid governmental purposes.<sup>35</sup>

The problem is that the subsidy is both overinclusive and underinclusive in operation. It is overinclusive insofar as organizations benefiting from presumptions of public benefit or from alignment with established social practices may gain access without serious scrutiny, while it is underinclusive insofar as farmed animal welfare groups pursuing genuine public-interest aims can be excluded because their purposes are framed as insufficiently connected to human benefit or too disruptive of existing agricultural norms.<sup>36</sup>

#### **B.     *Effectiveness of objective***

The CDTC can be viewed as an effective vehicle for charitable giving in a general sense, because it, essentially, lowers the cost of donations for donors, and it strengthens the fundraising capacity of eligible organizations.<sup>37</sup> Within the farmed animal welfare context, its effectiveness is radically uneven, as organizations most in need of tax subsidies may be filtered out before they can participate due to the strength of animal agriculture lobbyists leaning on *generally accepted practices* to justify abuses as legitimate cost-saving measures.<sup>38</sup> Since the welfare of farmed animals, and those organizations that support them, is an almost immediate application refusal, the tax expenditure is not achieving its objective equitably. In addition to the farmed animal welfare bias, the non-refundable structure limits the value of the expenditure for low-income

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<sup>34</sup> Finance, *Tax Expenditures 2026*, *supra* note 2.

<sup>35</sup> *Ibid.*

<sup>36</sup> CG-011, *supra* note 4; See also *Native Communications Society of BC v MNR* (1986), 4 FTR 219 (FCTD), confirming that animal welfare-type purposes fall primarily under the fourth *Pemsel* head; *Pemsel*, *supra* note 14 at 583.

<sup>37</sup> Finance, *Tax Expenditures 2026*, *supra* note 2; *ITA*, *supra* note 3 at s 118.1(3).

<sup>38</sup> *ITA*, *supra* note 3 at s 118.1; Brooks, “Tax Credit”, *supra* note 13; CG-011, *supra* note 4 at ss 8–9.

donors. Although the CDTC may generate support for a wide array of charitable activities, its socially important benefits are offset by these inequities.<sup>39</sup>

#### **IV. Evaluate Subsidy Against Budgetary Criteria**

##### **A. *Fairness of distribution***

The CDTC tax expenditure benefits are not distributed fairly. In terms of vertical equity, donors with greater taxable income receive more meaningful benefits from a non-refundable tax credit. Horizontally speaking, organizations engaged in comparable welfare-oriented work do not receive comparable access to charitable status, especially when measuring against the access provided to companion-animal welfare and rescue organizations.<sup>40</sup> Access to the subsidy turns not only on the applicant's mission but also on its capacity to navigate a legally and administratively demanding registration process, often requiring costly tax and legal professionals.<sup>41</sup>

##### **B. *Distortion***

The CDTC distorts organizational behaviour and donor choice. CG-011 creates incentives for organizations to frame their purposes in ways that fit accepted agricultural standards, even where those formulations do not fully reflect the organization's true mission.<sup>42</sup> The subsidy may also distort the charitable marketplace by steering donations toward organizations that can issue tax receipts and away from organizations that cannot. For farmed animal welfare groups, this means the tax system can reinforce the status quo of sanctioned farmed animal abuse by subsidizing "humane" participation in existing systems while refusing to

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<sup>39</sup> CG-011, *supra* note 4 at s 8.

<sup>40</sup> *Ibid*; Charity Law Group, "Why the CRA Rejected Your Animal Rescue Charity Application" (9 December 2025), Charity Law Group, online: <charitylawgroup.ca/charity-law-questions/why-the-cra-rejected-your-animal-rescue-charity-application> [Charity Law Group, "Rejected"].

<sup>41</sup> CG-011, *supra* note 4 at s 8; Charity Law Group, "Rejected", *supra* note 37.

<sup>42</sup> *Ibid*.

subsidize advocacy aimed at deeper structural change leading to both strengthened animal welfare provisions as well as benefits to the public.<sup>43</sup>

Beyond these organizational distortions, the existence of the CDTC itself generates a further category of *behavioural* distortion: the attraction of charity tax shelters and fraudulent donation schemes. Where a tax expenditure creates meaningful economic value, as the CDTC does by reducing federal tax liability by up to one-third, it inevitably attracts actors seeking to exploit that economic value through alternative or unsanctioned measures. Inflated donation receipts, gifting to tax shelter schemes, and fraudulent charitable registrations have all been documented in Canada, and each requires active CRA observation. This burden compounds administration costs and illustrates an equitably unbalanced tax expenditure generating distortions within charitable giving and taxpayer behaviour more broadly.<sup>44</sup>

### **C. *Costs and accountability***

The CDTC's administration costs for the CRA include registration reviews, interpretation of public-benefit doctrine within each application, compliance monitoring, audits, appeals, and continued maintenance of the policy framework.<sup>45</sup> The CRA must also devote resources to policing charity tax shelters and fraudulent donation schemes, a burden that flows directly from the economic value created by the CDTC, differentiating it from ordinary registration administration.<sup>46</sup> Applicants' compliance costs include legal advice, application preparation, evidentiary collection, and the risk of restrictive conditions or outright denial, and these burdens

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<sup>43</sup> Office of the Taxpayers' Ombudsperson, *Donor Beware* (Ottawa: Office of the Taxpayers' Ombudsperson, 2013), online: <[canada.ca/en/taxpayers-ombudsperson/programs/reports-publications/special-reports/donor-beware.html](https://canada.ca/en/taxpayers-ombudsperson/programs/reports-publications/special-reports/donor-beware.html)> [Ombudsman, *Donor Beware*]; Patrick Brethour, "CRA is Seeking Huge Sums Related to a Leveraged Charity Tax Sham", *The Globe and Mail* (15 March 2024), online: <[theglobeandmail.com/business/article-cra-is-seeking-huge-sums-related-to-a-leveraged-charity-tax-sham](https://theglobeandmail.com/business/article-cra-is-seeking-huge-sums-related-to-a-leveraged-charity-tax-sham/)>.

<sup>44</sup> *Ibid.*

<sup>45</sup> *Ibid.*

<sup>46</sup> *Ibid.*

fall especially hard on small and grassroots organizations. In the farmed animal welfare sector, the cost of obtaining expert guidance can itself become an insurmountable barrier to entry into the CDTC tax expenditure benefit.<sup>47</sup>

It is difficult to obtain concrete data on how these administrative costs translate into outcomes, but the limited statistics available illustrate the accountability gap. In 2024-2025, the Charities Directorate received 2,782 applications and issued 2,599 decisions, denying only 0.55 percent of charity applications and 11.4 percent of other qualified donee applications. The Directorate completed 220 audits in the same period, with 98 percent of audits identifying some form of non-compliance and 40 percent identifying serious non-compliance.<sup>48</sup> These figures are not searchable by sub-sector, so it is impossible to verify, from the public record, how many farmed animal welfare applicants were among the denied or the audited. This separation is a form of accountability failure: it makes sector-specific patterns of exclusion, exactly the phenomenon this paper is attempting to claim; these patterns are, essentially, invisible to the public.

The Office of the Taxpayers' Ombudsperson has separately reported that charity tax shelter cases led the CRA to deny more than \$7 billion in illegitimate credits and deductions, a number that is profoundly more than the operational cost of registering legitimate applicants. This underscores that the CRA's enforcement attention is drawn disproportionately toward fraud rather than toward the fairness of registration decisions in under-represented sectors.<sup>49</sup>

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<sup>47</sup> *Ibid.*

<sup>48</sup> CRA, *Charities Program 2024–2025*, *supra* note 51; see also CRA, "Report on the Charities Program: Results", tables 1 and 3.

<sup>49</sup> Ombudsman, *Donor Beware*, *supra* note 43; Patrick Brethour, "CRA is Seeking Huge Sums Related to a Leveraged Charity Tax Sham", *The Globe and Mail* (15 March 2024), online: <[theglobeandmail.com/business/article-cra-is-seeking-huge-sums-related-to-a-leveraged-charity-tax-sham](https://theglobeandmail.com/business/article-cra-is-seeking-huge-sums-related-to-a-leveraged-charity-tax-sham)> [Brethour, "Tax Sham"].

Cost accountability is limited in two ways. First, tax expenditures generally receive less direct scrutiny than equivalent direct spending programs. Second, in this context, important normative decisions about acceptable advocacy and acceptable standards of animal welfare are embedded in administrative guidance and reliance outside of important animal welfare legislation.<sup>50</sup> The available expenditure reports do not disclose whether the objective of the tax expenditure is being measured fairly across sectors or whether exclusionary effects are justified through usual and customary practices.<sup>51</sup>

Beyond cost reporting, the government's accountability mechanisms for the CDTC are also limited. Unlike direct spending programs, which are subject to Treasury Board program evaluation requirements and parliamentary scrutiny, tax expenditures receive no equivalent review.<sup>52</sup> The CRA's *Charities Program Update*, and related reports, provide partial operational transparency through access of registration decisions, audit activity, and statistics related to applicants' denial of charitable status, but they do not evaluate whether the substantive criteria governing registration decision are producing equitable outcomes based on stated objectives, especially when comparing the stated benefits to humans from each organization.<sup>53</sup> Recent parliamentary attention has begun to fill this gap. The Senate of Canada's Special Committee on the Charitable Sector, in its 2019 report *Catalyst for Change: A Roadmap to a Stronger*

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<sup>50</sup> Humane World for Animals Canada, *Towards a National Framework: Strengthening Farmed Animal Protection in Canada* (Ottawa: Humane World for Animals Canada, 2026), online: <[humaneworld.org/en/news/new-report-exposes-failures-farm-animal-protection-canada](https://humaneworld.org/en/news/new-report-exposes-failures-farm-animal-protection-canada)> [Humane World, National Framework]; Senate, *Catalyst for Change*, *supra* note 54; CG-011, *supra* note 4 at s 7.

<sup>51</sup> *Ibid.*

<sup>52</sup> Treasury Board of Canada Secretariat, *Policy on Results* (Ottawa: TBS, 2016, most recent amendment 1 April 2024), online: <[tbs-sct.canada.ca/pol/doc-eng.aspx?id=31300](https://tbs-sct.canada.ca/pol/doc-eng.aspx?id=31300)> [TBS, *Policy on Results*]; Neil Brooks, "Tax Credit", *supra* note 13 at 482; Canada Revenue Agency, *Report on the Charities Program 2024–2025* (Ottawa: Charities Directorate, Canada Revenue Agency, 2025), online: [canada.ca/en/revenue-agency/services/charities-giving/charities/about-charities-directorate/report-on-charities-program/report-on-charities-program-2024-2025.html](https://canada.ca/en/revenue-agency/services/charities-giving/charities/about-charities-directorate/report-on-charities-program/report-on-charities-program-2024-2025.html) [CRA, *Charities Program 2024–2025*].

<sup>53</sup> *Ibid.*

*Charitable Sector*, examined systemic barriers to charitable registration and called for a modernization of the legal definition of charity.<sup>54</sup> The report remains the most comprehensive parliamentary review of the charitable sector, highlighting how program accountability is impaired through an opaque and legislatively “off-limits” sector of potential charitable organizations.<sup>55</sup>

#### **D. Program implementation**

Program implementation is uneven. Established charities within *conventional* sectors are well-positioned to understand and access the tax expenditure, while newer or less *conventional* organizations face ambiguity about how the rules will be applied.<sup>56</sup> In the farmed animal welfare context, implementation problems are exaggerated by the lack of clarity around how far organizations may challenge accepted agricultural practices without jeopardizing charitable status. That uncertainty can chill applications, shape organizational conduct, and deter innovation in advocacy where farmed animal welfare is concerned.<sup>57</sup>

A counterargument could claim the CRA’s approach to CG-011 is not biased but simply neutral: it applies existing common law doctrine, defers to “generally accepted” agricultural practices to avoid substituting the regulator’s moral judgment for Parliament’s, and denies registration only where applicants cannot demonstrate benefit to the community. This claim sounds reasonable to most people, but it ignores that “generally accepted practices” are defined by the NFACC, a standards setting body whose voting membership is predominately made-up of the animal agriculture industry. Neutral deference to self-regulated standards, is not neutrality. It

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<sup>54</sup> Senate, Special Committee on the Charitable Sector, *Catalyst for Change: A Roadmap to a Stronger Charitable Sector* (Ottawa: Senate of Canada, June 2019) (Chair: Hon Terry M Mercer; Deputy Chair: Hon Ratna Omidvar), online: <[sencanada.ca/en/info-page/parl-42-1/cssb-catalyst-for-change/](http://sencanada.ca/en/info-page/parl-42-1/cssb-catalyst-for-change/)> [Senate, *Catalyst for Change*].

<sup>55</sup> *Ibid.*

<sup>56</sup> Adam Parachin, “Understanding the Rule Against Political Purposes for Charities” (2008) 40:1 *Adv Q* 93 [Parachin, “Political Purposes”]; CG-011, *supra* note 4; Charity Law Group, “Rejected”, *supra* note 38.

<sup>57</sup> *Ibid.*

is a choice to treat one set of normative claims favoured by animal agriculture producers as *baseline* for comparison and another, those favoured by animal welfare advocates, as the deviation from those norms. There is no need for the CRA to adopt any stance on animal welfare, but they should not pass the definition of “accepted practice” to a financially interested party and then present the results as a settled public-benefit test.<sup>58</sup>

## **V. Alternative Vehicles for Subsidy Delivery**

### **A. Reform of the current tax expenditure structure**

To improve both vertical equity and access, an alternative would be to redesign the CDTC itself through providing a refundable tax credit and registration that is less dependent on human benefits.<sup>59</sup> A more specific reform would be to revise the CG-011 and remove the tests that govern charitable registration for animal welfare organizations. Doing so could reduce the present bias that favours advocacy consistent with existing agricultural norms over advocacy that challenges those norms. The strong concern for the welfare of farmed animals within the collective Canadian community is clear, and by following the precedent of growing public concern equating with growing access to state-funded benefits, there should be no objections to extracting the CDTC tax expenditure’s bias against animal welfare organizations.<sup>60</sup>

### **B. Direct spending, regulation, and government provisions**

A direct spending program aimed at animal welfare organizations could avoid some of the conceptual distortions built into charity law. Unlike a tax credit linked to charitable registration, a grant program could be designed with explicit statutory criteria, transparent accountability measures, and direct recognition of animal welfare as a public good rather than

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<sup>58</sup> CG-011, *supra* note 4 at ss 7–9; Canada (AG) v Amateur Youth Soccer Association, 2007 SCC 42, [2007] 3 SCR 217 at paras 41–44 [AYSA]; see also Chan, *Public-Private Nature*, *supra* note 18 at 88–94.

<sup>59</sup> David G Duff, “Tax Treatment of Charitable Contributions in Canada: Theory, Practice, and Reform” (2004) 42:1 *Osgoode Hall LJ* 47 at 81–85 [Duff, “Charitable Contributions”]; Brooks, “Tax Credit”, *supra* note 13 at 488; Senate, *Catalyst for Change*, *supra* note 54.

<sup>60</sup> *Ibid.*

merely a source of human moral improvement. Another vehicle is regulation. Legislative or regulatory reform could directly raise minimum welfare standards for farmed animals instead of relying on a charitable subsidy to support a subset of advocacy organizations. Where the problem is structural mistreatment, regulation may be more direct and less distributionally skewed than an indirect subsidy.

Direct government provision is the furthest alternative from the existing model, but it remains conceptually relevant. Public support for inspection, rescue, sanctuary partnerships, education, or transition programming could address welfare concerns without making access depend on private donations and charitable status. This option would also place responsibility for priority-setting more squarely within ordinary public budgeting processes.

## **VI. Broader, Parallel, and Subsidiary Issues**

This issue connects to broader debates about the legitimacy of tax expenditures as substitutes for direct public spending. When subsidy decisions are made through tax rules and charity doctrine, controversial distributive choices can be obscured behind technical language about eligibility and public benefit. It also parallels other contexts in which legal gatekeeping privileges established institutions over emerging or dissenting forms of public-interest activity.

The farmed animal welfare example therefore serves as a case study in how tax administration, administrative guidance, and delegated standard-setting can combine to discipline advocacy at the boundaries of accepted social policy. A subsidiary issue concerns the role of evidence in public benefit analysis. If the law remains tied to assumptions about what counts as socially beneficial, then empirical evidence about animal sentience, public attitudes, food-system harms, and the structure of agricultural governance becomes central to evaluating whether the current framework is justified or simply historically contingent.

## **VII. Conclusion**

### **A. *Main argument summary***

The CDTC, while framed as a neutral support for charitable giving, does not operate neutrally in the farmed animal welfare context. Its dependence on restrictive public-benefit reasoning, its unequal treatment of analogous organizations, and its reliance on industry-shaped standards combine to produce a subsidy that is exclusionary and difficult to justify on main tax policy grounds. The expenditure is not merely imperfect; it is structurally biased in the way it filters access to subsidy. Farmed animal welfare organizations face barriers that many other organizations do not. More broadly, tax expenditures should be judged not only by their formal objectives, but by the institutional pathways through which they distribute public support. Where those pathways favour established interests, claims of neutrality become difficult to sustain.

### **B. *A striking example***

The starkest example remains the distinction in CG-011 between advocacy for humane slaughter and advocacy against slaughter itself. That contrast captures how the framework rewards moderation within the status quo while withholding support from challenges to it. In this sense, the CDTC resembles a grant program whose application criteria are written in neutral language but administered through assumptions that privilege institutions use to create roadblocks to growing public sentiment and the change. The mechanism appears universal, but its distributional effects are highly selective. The core unresolved question is whether a public subsidy should be conditioned on conformity with prevailing industry norms when the very purpose of some applicants is to challenge those norms in the public interest. At minimum, the current framework warrants administrative revision and closer scholarly attention. Further research could also test how often comparable grassroots sectors encounter similar barriers to subsidy access through charity law.

### **C.     *Broader policy generalizations***

This problem reaches beyond animal law. Tax expenditures are, at their core, spending decisions made through the tax system, decisions that should be evaluated by the same criteria as direct budgetary appropriations. When subsidy access is filtered through restrictive and institutionally conditioned conceptions of public benefit, controversial distributive choices are obscured behind technical eligibility language, insulated from the parliamentary scrutiny that would apply to equivalent direct spending programs.<sup>61</sup> The farmed animal welfare example therefore serves as a case study in a broader phenomenon: the capacity of tax administration, administrative guidance, and delegated standard-setting to discipline the boundaries of subsidized advocacy in ways that favour incumbent institutions over emerging or dissenting public-interest voices. Absent reform, whether through administrative revision of CG-011, statutory amendment to section 149.1 of the *Income Tax Act*, or the creation of an independent direct grant program, the likely trajectory is continued underrepresentation of farmed animal welfare organizations within the registered charitable sector and continued public subsidization of more conventional and institutionally favoured forms of charitable activity.<sup>62</sup>

### **D.     *Call for reform***

At minimum, the current framework warrants serious administrative and legislative attention. The Senate's *Catalyst for Change* report has already identified the need to modernize Canada's definition of charity, and the evidence developed in this paper reinforces that call with particular urgency in the farmed animal welfare context.<sup>63</sup> Whether the appropriate response is a reformed registration test, a refundable credit structure, or a parallel direct funding mechanism,

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<sup>61</sup> Allison Christians & Samuel Singer, "Policy Forum: The Role of Critical Questions in Tax Policy Analysis" (2024) 73:4 *Can Tax J* 825 at 829–831; Finance, *Tax Expenditures 2026*, *supra* note 2.

<sup>62</sup> CG-011, *supra* note 4; Finance, *Tax Expenditures 2026*, *supra* note 2; Brooks, "Tax Credit," *supra* note 13.

<sup>63</sup> Finance, *Tax Expenditures 2026*, *supra* note 2.

the underlying imperative is the same: a public subsidy of more than two billion dollars annually should not rest on criteria that systematically favour organizations whose purposes are comfortable to existing commercial and legal arrangements over those whose purposes challenge them in the public interest.

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